

EGYPTIAN CHEMICAL INDUSTRIES (KIMA) — EGX: EGCH — VALUATION

WHAT THIS FILE IS

A live formula model of a single-site Egyptian nitrogen-fertilizer producer. Revenue is built product by product, consumption times a unit price; the cost of capital, the discount-rate glide, the free-cash-flow waterfall, the EV/EBITDA ratio are calculated in the sheet. Change a blue cell on Assumptions and the valuation recomputes.

BLUE IS AN INPUT. BLACK IS A FORMULA. GREEN IS A LINK TO ANOTHER SHEET.

THE THREE CLASSES OF PASTED CELL, AND THERE ARE NO OTHERS

1. AUDITED AND DISCLOSED HISTORY. The Income Statement, Balance Sheet and Cash Flow sheets carry the audited statements for the years ended 30 June 2023, 2024 and 2025 and its reviewed nine-month accounts. If not derivable, the DISCLOSED figure is carried and the derivation sits beside it as a check.

2. THE UNIT BUILD'S OUTPUT. Production tonnages, the split of those tonnes between the subsidised, local and export price in each channel are the output of a reconciliation against the audited revenue note that would be under Assumptions; everything downstream is a formula.

3. WHOLE-MODEL RE-RUNS AND SIMULATION OUTPUT. Every cell of the Sensitivity grid is a complete re-run. The Carlo sheet reports statistics of a fifty-thousand-path simulation. NEITHER REDRAWS WHEN A DRIVER CHANGES.

THE CONTESTED JUDGEMENT IS CARRIED BOTH WAYS, NEVER AVERAGED

This company is building a nitric-acid and ammonium-nitrate complex whose bank-approved cost is about £1.50 a share. Whether that programme is carried through or stopped is worth more than three pounds a share — more than twice the cost. We report a number that is true in neither world, so both are computed and both are published: on Summary, on the Sensitivity columns, and in the expert panel.

This is a valuation study. It is not a rating and not a price target: it reports a range of fair values and the distribution of outcomes.

SUMMARY — EVERY READ AT A GLANCE

Every figure here is a formula reading the valuation sheets. The contested judgement appears as two columns and is never

Lens	Programme carried through (EGP/share)	Programme stopped (EGP/share)
Cash flow — the primary lens	4.04	8.04
Book value and sustainable return	0.00	0.00
Relative multiples	15.99	15.99
Normalised earnings power	4.29	4.29

THE FIELD — the range of the published reads, never an average of them

Low	4.04
High	15.99
Spread across the published reads	11.95
Spot price, 3 September 2026	14.41
Shares outstanding	1,986,578,999
Market capitalisation (EGP m)	28,627

THE CONTESTED JUDGEMENT — BOTH WAYS, NEVER AVERAGED

Is the ANNA capital programme carried through, or stopped?

Carried through (EGP/share)	4.04
Stopped (EGP/share)	8.04
The gap (EGP/share)	4.00
The gap (EGP m of equity)	7,945

Discount rate implied by the traded p	13.0%
Sovereign ten-year yield the same day	23.0%
Cost of capital built in this model, ye	25.76%
Cost of capital on the RATING premi	26.88%

Both premium bases are published and neither is mixed with the other's risk-free rate.

Terminal value as a share of enterprise value is reported beside the cash-flow lens on the

THE ANSWER — TWO BRANCHES, PUBLISHED SIDE BY SIDE AND NEVER

Cash-flow lens — ANNA programme	4.04
Against spot	-72.0%
Cash-flow lens — ANNA programme	8.04
Against spot	-44.2%
RETIRED — the 45/20/20/15 weighted	5.87
Why it is retired	the weights were typed and had never cleared

The judgement is BINARY and its two answers straddle the interesting range, so an average would

Against spot	What it measures
-72.0%	Free cash flow to the firm, discounted on a glided cost of capital
-100.0%	Book equity at the justified multiple implied by its own sustainable return
10.9%	Forward EBITDA at the mid-point of the Egyptian industrial range
-70.2%	Mid-cycle operating profit after tax at a justified multiple

n

TER AVERAGED

ared an out-of-sample test

'd describe a half-built plant — a world nobody is proposing and the company is not in. Both branches

s are published; neither is weighted into the other. Bear and full are the field's floor and ceiling.

FUNDAMENTAL VALUATION — THE FOUR LENSES

The cash-flow lens is primary; the other three test it from directions it cannot test itself.

Lens 2 — book value and sustainable return	Value
Book equity, 31 March 2026 (EGP m)	16,206
Book value per share (EGP)	8.16
Underlying profit FY2023/24 (EGP m)	503
Underlying profit FY2024/25 (EGP m)	987
Opening equity FY2023/24 (EGP m)	7,250
Opening equity FY2024/25 (EGP m)	14,560
Return on equity FY2023/24	6.9%
Return on equity FY2024/25	6.8%
Sustainable return on equity	6.9%
Cost of equity	29.28%
Terminal growth	7.0%
Justified price-to-book, before flooring	-0.006
Justified price-to-book	0.00
Value per share on this lens (EGP)	0.00
Price-to-book the market pays	1.77

WHAT THE FOUR LENSES SAY TOGETHER

Lens	EGP per share
Cash flow — programme carried through	4.04
Cash flow — programme stopped	8.04
Book value, disclosed (a floor, never weighted)	8.16
Relative multiples	15.99
Normalised earnings power	4.29
The field, low to high	4.04

The two cash-flow readings are the contested judgement. They are the two sides of one question and are never averaged; the other three lenses are read against both. Note that the lens giving the highest number — relative multiples — is also the one that never asks what the capital programme does to cash, which is exactly

5, ONE FIELD

Derivation

Paid-in capital plus reserves, as reported

Reported profit less the one-off investment-property revaluation gain

As reported

Prior-year closing equity

Prior-year closing equity

The two-year average on underlying profit

Built on the Assumptions sheet

The sustainable return does not cover even nominal maintenance growth, so this is NEGATIVE. That is the finding, not a rounding artefact.

Floored at zero

For comparison

Note

15.99

ASSUMPTIONS — THE LIVE DRIVERS

Blue cells are inputs. Change one and the model reprices. Each carries its source. Every value on this sheet comes from the study's input register.

Driver	Unit
THE CAPITALISATION	
Shares outstanding	shares
Anchor price	EGP
Exchange rate, FY2024/25 average	EGP/US\$
Normalised-earnings multiple, low	x
Normalised-earnings multiple, central	x
Normalised-earnings multiple, high	x
CAPACITY AND VOLUME	
Urea design capacity	tonnes/year
Ammonia design capacity	tonnes/year
Ammonia per tonne of urea	tonnes
Urea capacity utilisation — FY2026/27	% of plate
Urea capacity utilisation — FY2027/28	% of plate
Urea capacity utilisation — FY2028/29	% of plate
Urea capacity utilisation — FY2029/30	% of plate
Urea capacity utilisation — FY2030/31	% of plate
Subsidised deliveries — FY2026/27	tonnes
Subsidised deliveries — FY2027/28	tonnes
Subsidised deliveries — FY2028/29	tonnes
Subsidised deliveries — FY2029/30	tonnes
Subsidised deliveries — FY2030/31	tonnes
Local free-market volume — FY2026/27	tonnes
Local free-market volume — FY2027/28	tonnes
Local free-market volume — FY2028/29	tonnes
Local free-market volume — FY2029/30	tonnes
Local free-market volume — FY2030/31	tonnes

PRICES

Export urea price — FY2026/27	US\$/tonne
Export urea price — FY2027/28	US\$/tonne
Export urea price — FY2028/29	US\$/tonne
Export urea price — FY2029/30	US\$/tonne
Export urea price — FY2030/31	US\$/tonne
Egyptian pounds per US dollar, spot	EGP/US\$
Long-run United States inflation	%
Currency wedge — FY2026/27	%
Egyptian pounds per US dollar — FY2026/27	EGP/US\$
Currency wedge — FY2027/28	%
Egyptian pounds per US dollar — FY2027/28	EGP/US\$
Currency wedge — FY2028/29	%
Egyptian pounds per US dollar — FY2028/29	EGP/US\$
Currency wedge — FY2029/30	%
Egyptian pounds per US dollar — FY2029/30	EGP/US\$
Currency wedge — FY2030/31	%
Egyptian pounds per US dollar — FY2030/31	EGP/US\$
Export duty	% of export value
Subsidised price — FY2026/27	EGP/tonne
Subsidised price — FY2027/28	EGP/tonne
Subsidised price — FY2028/29	EGP/tonne
Subsidised price — FY2029/30	EGP/tonne
Subsidised price — FY2030/31	EGP/tonne
Local free price as % of export parity	%
Nitrate volume — FY2026/27	tonnes
Nitrate volume — FY2027/28	tonnes
Nitrate volume — FY2028/29	tonnes
Nitrate volume — FY2029/30	tonnes
Nitrate volume — FY2030/31	tonnes
Nitrate price, FY2024/25 basis	EGP/tonne
Other revenue — FY2026/27	EGP m
Other revenue — FY2027/28	EGP m
Other revenue — FY2028/29	EGP m
Other revenue — FY2029/30	EGP m

Other revenue — FY2030/31	EGP m
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COST STACK — ONE ESCALATOR PER PHYSICAL DRIVER

Gas per tonne of ammonia	m3
Realised gas price	US\$/mmBtu
Energy conversion	mmBtu per m3
Other materials per tonne of urea	EGP
Wages in cost of sales, FY2024/25	EGP m
Purchased services, FY2024/25	EGP m
Inland freight per export tonne	EGP
Other selling cost, FY2024/25	EGP m
Administrative expense, FY2024/25	EGP m
Stoppage and abnormal gas cost — FY2026/27	EGP m
Stoppage and abnormal gas cost — FY2027/28	EGP m
Stoppage and abnormal gas cost — FY2028/29	EGP m
Stoppage and abnormal gas cost — FY2029/30	EGP m
Stoppage and abnormal gas cost — FY2030/31	EGP m
Egyptian inflation — FY2026/27	%
Egyptian inflation — FY2027/28	%
Egyptian inflation — FY2028/29	%

Egyptian inflation — FY2029/30	%
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Egyptian inflation — FY2030/31	%
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COST OF CAPITAL

Observed ten-year government yield	%
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Sovereign default spread, rating basis	%
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Normalised risk-free rate, rating basis	%
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Equity risk premium, rating basis	%
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Sovereign default spread, CDS basis	%
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Equity risk premium, CDS basis	%
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Beta	x
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Normalised risk-free rate, CDS basis — THE CENTRAL	%
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Cost of equity, rating basis — published, not central	%
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Cost of equity, CDS basis — THE CENTRAL	%
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Cost of debt, local currency	%
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Cost of debt, dollar tranche, in dollars	%
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Terminal currency wedge (the same identity, at the termi	%
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Dollar debt at local-equivalent cost, year one (FY2026/27	%
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Share of debt in local currency	%
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Blended pre-tax cost of debt	%
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Tax rate	%
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Equity weight	%
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Debt weight	%
-------------	---

Cost of capital, year one	%
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Terminal inflation (the same figure terminal growth is set%

Long-run real rate %

Terminal normalised risk-free rate — terminal inflation p %

Long-run dollar cost of debt %

Terminal cost of debt, local-equivalent %

TERMINAL COST OF CAPITAL %

Terminal growth %

Average age of the fixed-asset base — MEASURED years

Replacement cycle the accounts imply years

CAPITAL, WORKING CAPITAL AND THE PROJECT

Depreciation charge, FY2024/25 EGP m

Amortisation, FY2024/25 EGP m

Project capital expenditure — FY2026/27 EGP m

Project capital expenditure — FY2027/28 EGP m

Project capital expenditure — FY2028/29	EGP m
Project capital expenditure — FY2029/30	EGP m
Project capital expenditure — FY2030/31	EGP m
Depreciation escalation on the existing base	per year
Depreciation rate on the new complex	per year
New complex nameplate	tonnes/day
Operating days a year	days
Steady-state depreciation wedge in the terminal year	ratio
The complex is completed and in service (1 = yes)	switch
Approved cost of the new complex	EGP m
Maintenance capital expenditure	% of revenue
Wind-down cost if the programme is stopped	EGP m
Ammonia per tonne of nitrate	tonnes
Project nameplate (derived, not disclosed)	tonnes/year
Cross-check: nameplate derived from the ammonia surplus	tonnes/year
Project utilisation in the terminal year	%
Nitrate price	US\$/tonne
Project cash margin	% of revenue
Days sales outstanding	days
Days inventory outstanding	days

Days payable outstanding

days

Value

1,986,578,999

14.41

49.00

8.0

10.0

12.0

574,875

438,000

0.620

91.3%

92.2%

93.0%

93.9%

94.8%

155,000

160,000

165,000

170,000

175,000

40,000

41,000

42,000

43,000

44,000

530.0

530.0

530.0

530.0

530.0

49.79

2.4%

11.33%

55.43

7.91%

59.81

5.71%

63.23

4.74%

66.23

4.49%

69.20

10.0%

7,526

8,429

9,272

10,106

10,915

90.0%

26,000

26,000

26,000

26,000

26,000

20,000

140.0

152.0

163.0

174.0

186.0

1,292

4.68
0.03531

2,142

212.9

62.6

1,742

176.3

359.6

150.0

120.0

100.0

90.0

80.0

14.0%

10.5%

8.3%

7.3%

7.0%

23.00%
6.37%

16.63%
13.94%
3.41%

9.41%

1.030
19.59%
30.99%
29.28%

19.40%
11.70%

4.49%
24.35%

0.3%
24.34%

22.5%
66.2%
33.8%
25.76%

7.0%
5.5%
12.50%
9.00%
13.91%
18.33%

7.0%

4.45

22.07

771.2

119.4

2,599

3,100

3,300

3,200

2,489

2.0%

3.95%

800

330

2.5%

1

20,342

1.1%

1,000

0.43

264,000

189,863

50.0%

280

32.0%

26.8

165.2

83.2

Source

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 14 share capital

EGCH closing price on the Egyptian Exchange, 3 September 2026. The previous edition was struck on the 6 August close of 13.98

Constructed: the rate that reconciles note 20 export revenue to the disclosed export price and the implied export tonnage

Multiple applied to mid-cycle profit after tax, low end

Multiple applied to mid-cycle profit after tax, central

Multiple applied to mid-cycle profit after tax, high end

Constructed: 1,575 t/day contractual plate times 365 days

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 28

Constructed: FY2024/25 ammonia output divided by FY2024/25 urea output, both from the auditor's product cost table

Constructed: utilisation path. Audited output ran 586.4kt in FY2022/23 (2% above plate), 521.9kt in FY2023/24 and 513.4kt in FY2024/25; the path never returns to plate because the summer gas curtailment is structural.

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Constructed: subsidised delivery path. The company met 147kt of a 322kt requirement in the fourteen months to August 2025, a 46% compliance rate the forecast does not assume away.

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Constructed: local free-market volume path from the 37.1kt implied for FY2024/25.

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Held FLAT in nominal dollars at the opening level. No forecast of a traded commodity price is defensible, which is the convention this house applies to the same class of input elsewhere; the previous path fell 17% over five years on a construction nothing sourced.

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Market quote

Long-run United States inflation, the other leg of the purchasing-power wedge

Derived: the relative-purchasing-power depreciation the inflation path implies against long-run US inflation, the SAME wedge that carries the dollar debt in that year

Derived: the prior year's rate carried on that year's wedge

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Derived: the prior year's rate carried on that year's wedge

2026 replacement of the shortfall levy with an ad-valorem duty tied to the global price

Constructed: administered subsidised price path from the EGP 6,000 cooperative supply

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Constructed: administered subsidised price path from the EGP 6,000 cooperative supply

Constructed: local free-market urea clears at about 90% of export parity, implied by the

FY2024/25 note-20 local revenue net of the subsidised and nitrate legs

Constructed: nitrate volume path, flat on the FY2024/25 combined granulated and low-density output.

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Implied by the note-20 local revenue net of the subsidised and free-market urea legs; indexed forward on the currency

Constructed: merchant nitric acid, the ferrosilicon plant's rent and services.

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Constructed and FLAGGED: the statements give a single materials line and do not split gas from the rest. Gas is set at three quarters of that line, which implies 1,292 m3 per tonne of ammonia — inside the auditor's own disclosed 1,025 to 1,771 range. This is the largest modelled allocation in the study

Constructed: the company's own Q1 disclosure values 31,313,235 m3 of lost gas at EGP 251m, or EGP 8.016/m3, which converts to about US\$4.68/mmBtu at the prevailing rate — below the US\$5.75 contract price, which the study carries as its downside case

Constructed: standard gross calorific conversion

The FY2024/25 materials line less modelled gas, over urea output: packaging, catalysts and consumable spares

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 21

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 21

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 22 freight and commissions over the implied export tonnage

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 22 selling materials, wages and other selling expense

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), income statement

Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.

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DERIVED from the single Egyptian inflation path this series uses for every Egyptian company it values (as of 2026-09-02), mapped onto this company's 30 June fiscal year end: each fiscal year takes half of each of the two calendar years it spans, and beyond the path's last published year its long-run rate. That path is 2026 16.0% / 2027 12.0% / 2028 9.0% / 2029 7.5% / 2030 7.0%. No number here is chosen for this study: a company cannot be valued in an economy the study beside it does not recognise, so no valuation in this series sets an inflation rate of its own. Until 3 September 2026 this array read 10.0 / 7.0 / 6.0 / 5.0 / 5.0 and ended at 5% while the same study already took 7% as the long-run rate.

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Egypt ten-year government bond yield, market quote

Country risk premium workbook, original file, Egypt row, adjusted default spread

Country risk enters ONCE, through the premium below. Using the raw local yield with a country-loaded premium would charge Egypt's sovereign risk twice.

Country risk premium workbook, original file, Egypt row, rating basis total equity risk

Country risk premium workbook, original file, Egypt row, ten-year CDS spread

Country risk premium workbook, original file, Egypt row, equity risk premium based on the sovereign credit default swap. CORRECTED 9 August 2026: the study had 9.4247%, reconstructed from a 3.55% spread the file does not carry. Damodaran's Egypt row reads Own-stock weekly regression, 253 observations over 4.9 years against the published EGX30 index (as of 2026-07-22). R-squared 0.250. standard error 0.191. 90% interval 0.72 to 1.34

Constructed: EGP 96,896,001 of interest on the EGP 500,000,000 holding-company facility drawn in FY2024/25 — the company's own latest local borrowing

Constructed: EGP 1,338.0m of FY2024/25 interest on a mean dollar balance of about

Constructed: the central bank's LONG-RUN 5% target against about 2.4% in the United States, on the same relative-purchasing-power identity the study states. CORRECTED 9 August 2026: the study previously asserted 4.5% flat while stating a derivation that produces a different number in every year. The wedge is now computed from the identity rather than asserted and the currency path is built from it year by year

The pound tranche of the project loan was repaid in June 2024, so the book is almost entirely dollar

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 5-16 income tax

Market-value equity over market-value equity plus debt

One less the equity weight

The inflation embedded in the TERMINAL discount rate, taken from the house macro path and NOT typed here — the SAME figure terminal growth is set at, so the two cannot drift apart. (This sentence previously described the value as 5%, the central bank's Q4-2028 target, while the path supplies 7%: a 7% value carrying a 5% justification, which is exactly the kind of unfalsifiable typed rate this series does not permit. The value has always come from the path; only the sentence was wrong.) CORRECTED 1 September 2026: the 08-08-2026 edition built the terminal risk-free rate on the 7% Q4-2026 target while growing the perpetuity at 5%, a perpetual real decline of about 2% a year that no disclosure supports (the same defect the AMOC version found in 2015). Terminal growth, the terminal risk-free rate, and the terminal inflation are all the same. The house real-rate convention, used to build the terminal risk-free rate from its own components rather than from a spot yield

Constructed: long-run corporate dollar cost of debt

Terminal growth from the house macro path: terminal inflation plus a STATED real growth of zero, so the real assumption is written down rather than inferred from the gap to the discount rate. It was 5% (+/-2) for Q4 2028. CORRECTED 9 August 2026 after external critique: the study previously used the 7% Q4-2026 target, which expires one quarter after the anchor date, as a perpetuity anchor -- and then defended it by calling 5% 'below the target', inverting the central bank's own target structure. A perpetuity takes the longest-horizon target there is DERIVED BY IDENTITY, labelled as derived: accumulated depreciation over the year's own charge. Under straight-line depreciation accumulated equals age times charge, so the ratio is the charge-weighted average age of the base. THE THREE CONDITIONS THAT BREAK THAT IDENTITY ARE CHECKED AND CLEAR HERE. There is no residual value: the policy note writes off cost over the useful life and mentions none. No useful life has been reassessed: the disclosed rates are unchanged from the prior year's identical table. And the base was not assembled by acquisition — it is one plant, built and extended by this company. The corroboration is that only EGP 220mn, 1.3% of the base, is fully depreciated and still in production, so almost nothing is past its accounting life and the gross-over-charge life below reads close to a true weighted life rather than a longer economic cycle. 4.45 years against the DERIVED BY IDENTITY, labelled as derived: the depreciable gross cost — cost less land, which is never depreciated — over the year's own charge. It is the replacement cycle the accounts themselves run, and it sits inside the disclosed range: note 5-2 gives 3.95% on the urea and ammonia machinery (25.3 years), 9.5% on the factories (10.5), 6.5% on the workshops (15.4), 6% on the factory buildings (16.7), 2 to 5% on the residential city and the water and sewage pipes (20 to 50) and 4.75% on the intangible (21.1). A weighted life cannot be read off the note because it publishes no class balances, so the identity supplies one and

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 6 fixed-asset register
 Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 10 usufruct intangible
 Constructed: project spending path, RE-ANCHORED 9 August 2026 on the observed run rate. The first year is the company's own nine-month actual extended to a full year (EGP 1,949.1m x 4/3 = EGP 2,598.8m); the remaining years complete the EGP 14,688m still to spend against the bank-approved cost. The first issue opened at EGP 3,000m, above anything the company has actually spent in a year
 Constructed: project spending path, RE-ANCHORED 9 August 2026 on the observed run rate. The first year is the company's own nine-month actual extended to a full year (EGP 1,949.1m x 4/3 = EGP 2,598.8m); the remaining years complete the EGP 14,688m still to spend against the bank-approved cost. The first issue opened at EGP 3,000m, above anything the company has actually spent in a year

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Constructed: escalation on the existing depreciation base, reflecting ordinary additions to the plant already in service

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 5-2 depreciation rates

EPC award for this plant (Tecnimont S.p.A. with Orascom Construction, announced 9 June 2023): 600 t/day nitric acid converted to 800 t/day of fertilizer-grade granulated ammonium nitrate. FOUND BY EXTERNAL CRITIQUE 9 August 2026 -- the study had said 'no filing states it' and derived the plate from the ammonia surplus instead

Constructed: operating days a year for a continuous nitrate line, net of the turnaround the company takes annually

DERIVED: the steady-state currency depreciation the terminal inflation (5%) implies against long-run US inflation (2.4%) on the relative purchasing-power identity — the same wedge that carries the dollar debt in the terminal year. RE-SET 1 September 2026 from a typed 2.5% so that the terminal currency, the terminal cost of debt and the last explicit year share one Case switch. Zero in the capital-discipline column, where the plant is never finished and therefore never depreciated.

Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 18-3 — bank-approved investment cost, agreement of 25 June 2025: dual-currency tranches at the approval rate

Maintenance capital expenditure as a share of revenue, RE-ANCHORED 9 August 2026 on the company's OWN pre-project cash-flow statements: EGP 123.3m spent across FY2021/22 and FY2022/23 on EGP 11,052.9m of revenue. The first issue of this study used a 3.0% mature-plant standard instead, which is 2.7 times what this company has ever spent to keep its plant running, and which no disclosure supports. The replacement-rate framing (gross fixed assets at the disclosed 3.95% machinery rate, 6.11% of revenue) is carried as the published

Constructed: capital-discipline case only: the cost of stopping the programme in the first forecast year — contract settlement and site preservation. No filing states it; it is the study's estimate and is flagged.

Constructed: ammonia per tonne of ammonium nitrate through the nitric-acid route plus direct neutralisation

EPC award for this plant (Tecnimont S.p.A. with Orascom Construction, announced 9 June 2023): 600 t/day nitric acid converted to 800 t/day of fertilizer-grade granulated ammonium nitrate. FOUND BY EXTERNAL CRITIQUE 9 August 2026 -- the study had said 'no filing states

The construction the study used before the engineering award was found. Retained as a cross-check on the disclosed plate, not as the plate itself.

Constructed: project utilisation in the terminal year, central case

Mid-cycle ammonium nitrate pricing

Constructed: conversion margin on ammonium nitrate over its own ammonia feedstock

Constructed: FY2024/25 receivables over revenue

Constructed: FY2024/25 inventory over cost of sales

Constructed: FY2024/25 payables over cost of sales

ENTERPRISE VALUE TO EQUITY — THE BRIDGE, B

This company has one operating business, so there are no parts to sum. What the bridge does carry is the non-operating stack and the net debt. and it carries them for

Component	Programme carried through (EGP m)
Present value of the explicit window	3,843
Present value of the terminal value	10,677
Enterprise value	14,519
Terminal value as a share of enterprise value	73.5%
Less net debt	-10,032
Plus listed equity stakes at market	1,383
Plus investment property	2,155
Equity value	8,025
Value per share (EGP)	4.04

BOTH SIDES OF 'A'

Programme
stopped (EGP m)

11,013

11,451

22,464

51.0%

-10,032

1,383

2,155

15,970

8.04

THE JUDGEMENT

Source

Five years of free cash flow to the firm, discounted on the glide

The perpetuity, capitalised at the terminal cost of capital

Reported because on this company it is the number that decides the answer

Gross debt less cash at 31 March 2026

Remaining holdings after the partial disposal in the first half

Carried at the revalued amount in the statements

SEGMENTS — THE UNIT BUILD, TONNES TIMES

The company reports one operating segment, so the build goes below it to the product and the channel, which is the finest level the statements source.

Tonnes and prices	FY2026/27
Urea production (tonnes)	524,861
Ammonia produced, capped at the design plate	325,356
Subsidised volume (tonnes)	155,000
Local free-market volume (tonnes)	40,000
Export volume (tonnes)	329,861
Export price net of duty (EGP/tonne)	26,440
Local free-market price (EGP/tonne)	26,440
Nitrate price (EGP/tonne)	22,625
Export revenue (EGP m)	8,722
Subsidised revenue (EGP m)	1,167
Local free-market revenue (EGP m)	1,058
Nitrate revenue (EGP m)	588
Other revenue (EGP m)	140
REVENUE (EGP m)	11,674
Gas price (EGP per m3)	9.16
Natural gas (EGP m)	3,850
Cumulative inflation index	1.140
Other materials (EGP m)	1,282
Wages (EGP m)	243
Purchased services (EGP m)	71
Depreciation and amortisation (EGP m)	891
COST OF SALES (EGP m)	6,337
GROSS PROFIT (EGP m)	5,337
Gross margin — an OUTPUT, never an input	45.7%
Inland freight to port (EGP m)	655
Other selling cost (EGP m)	201
Administrative (EGP m)	410
Stoppage and abnormal gas cost (EGP m)	150
EBIT (EGP m)	3,921
EBITDA (EGP m)	4,812
EBITDA margin — an OUTPUT	41.2%

Margins are outputs of the build, not inputs to it. Nothing on this sheet sets a margin; each one falls out of tonnes,

S PRICE

FY2027/28	FY2028/29	FY2029/30	FY2030/31
530,035	534,634	539,808	544,982
328,563	331,414	334,621	337,828
160,000	165,000	170,000	175,000
41,000	42,000	43,000	44,000
329,035	327,634	326,808	325,982
28,532	30,162	31,590	33,009
28,532	30,162	31,590	33,009
24,414	25,809	27,031	28,246
9,388	9,882	10,324	10,760
1,349	1,530	1,718	1,910
1,170	1,267	1,358	1,452
635	671	703	734
152	163	174	186
12,693	13,513	14,277	15,043
9.88	10.45	10.94	11.44
4,196	4,474	4,731	4,991
1.260	1.364	1.462	1.565
1,430	1,562	1,691	1,827
268	290	311	333
79	85	91	98
1,009	1,147	1,292	1,434
6,982	7,558	8,118	8,683
5,711	5,955	6,160	6,360
45.0%	44.1%	43.1%	42.3%
722	778	832	888
222	240	258	276
453	490	526	563
120	100	90	80
4,194	4,346	4,453	4,553
5,203	5,492	5,746	5,987
41.0%	40.6%	40.2%	39.8%

LENS 3 — RELATIVE MULTIPLES · LENS 4 — NOI

Two cross-checks on the cash-flow lens, each reaching the answer from a direction the cash-flow model cannot reach it from.

Relative multiples	Value
Forward EBITDA, FY2026/27 (EGP m)	4,812
Egyptian industrial range, low	6.0
Egyptian industrial range, high	9.9
Mid-point	8.0
Enterprise value at the mid-point (EGP m)	38,255
Less net debt (EGP m)	-10,032
Plus non-operating assets (EGP m)	3,538
Value per share on this lens (EGP)	15.99
At the low multiple (EGP)	11.26
At the high multiple (EGP)	20.71
Multiple the market pays	8.0
Multiple this model's cash-flow lens implies	3.0

This lens gives the highest of the four answers, and it is worth saying why: a multiple of forward EBITDA never asks what the capital programme does to cash. It values the plant as though the money being spent on the new complex were not being spent. That is exactly the question the cash-flow lens exists to

Normalised earnings power — every intermediate line	Value
Mid-cycle urea output (tonnes)	540,542
Export tonnes at mid-cycle	345,542
Mid-cycle export price (US\$/tonne)	400
Exchange rate used	55.89
Export revenue (EGP m)	6,952
Other revenue legs (EGP m)	2,704
Mid-cycle revenue (EGP m)	9,657
Mid-cycle cash cost (EGP m)	6,829
Mid-cycle EBITDA (EGP m)	2,828
Mid-cycle operating profit after tax (EGP m)	1,502
Value per share at the central multiple (EGP)	4.29
At the low multiple (EGP)	2.78
At the high multiple (EGP)	5.80

RMALISED EARNINGS POWER

Note
From the unit build
Observed trading and transaction range
Observed trading and transaction range
31 March 2026
Listed stakes and investment property

The gap between this line and the next is the whole disagreement in one

Note
Three-year average of audited output: 586.4kt, 521.9kt and 513.4kt
Output less the subsidised and free-market legs
Above the 2015-2020 average of roughly US\$250 and well below the August 2026 quote of US\$545
The second year of the currency path
Subsidised, local free market, nitrates and other, on the same paths as the main build
Gas, other materials, wages, services, freight, other selling and administration, each escalated on its own driver
After depreciation and tax
A mature single-asset industrial in a high-inflation economy does not deserve

DISCOUNTED CASH FLOW — THE CONTESTED J

Column B carries the programme through; column D stops it. Both are complete valuations. They are never averaged.

EGP million	FY2026/27	FY2027/28
Revenue	11,674 ##	
EBITDA	4,812 ##	
EBITDA margin	41.2% ##	
Depreciation and amortisation	891 ##	
EBIT	3,921 ##	
NOPAT = EBIT x (1 - tax rate)	3,039 ##	
Add back depreciation	891 ##	
Less capital expenditure	-2,729 ##	
Less change in working capital	788 ##	
FREE CASH FLOW TO THE FIRM	1,989 ##	
Discount rate from the glide	25.76% ##	
Discount factor, compounded	0.7952 ##	
PRESENT VALUE OF FREE CASH FLOW	1,581 ##	

TERMINAL BLOCK AND THE BRIDGE — BOTH SIDES

	Programme carried through
Year-five profit before interest and tax, the pr	5,387
Project revenue in the terminal year	2,672
Project operating profit, after its own depreciat	51
Terminal EBIT	5,439
Terminal profit after tax	4,215
Plus book depreciation and amortisation in the	1,822
Less capital maintenance at replacement cost –	-2,463
Less capital for REAL growth — the stated real	0
Less inflation on the working capital the busine	-229
Terminal free cash flow	3,345
TERMINAL VALUE	29,516
Memo — the no-growth perpetuity at book depr	22,991
Present value of the terminal value	10,677
Present value of the explicit window	3,843
ENTERPRISE VALUE	14,519
TERMINAL VALUE AS A SHARE OF ENTER	73.5%
Gross debt, 31 March 2026	14,639
Cash and equivalents	4,607

Net debt	10,032
Listed equity stakes at market	1,383
Investment property	2,155
VALUE PER SHARE (EGP)	4.04
EQUITY VALUE	8,025

PROGRAMME STOPPED — the same operating build, project ca

		FY 20 27 /2 8
EGP million	FY2026/27	
Free cash flow, programme carried through	1,989	##
Add back project capital not spent	2,599	##
Less the wind-down cost	-1,000	0
Less the tax shield on depreciation never incur	0	-23
FREE CASH FLOW, PROGRAMME STOPPED	3,588	##
Present value	2,853	##

UDGEMENT IN TWO COLUMNS

FY2028/29	FY2029/30	FY2030/31
13,513	14,277	15,043
5,492	5,746	5,987
40.6%	40.2%	39.8%
1,147	1,292	1,434
4,346	4,453	4,553
3,368	3,451	3,529
1,147	1,292	1,434
-3,451	-3,359	-2,657
-190	-182	-183
874	1,202	2,122
22.24%	21.02%	20.01%
0.5253	0.4341	0.3617
459	522	768

Programme stopped
5,387
0
0
5,387
4,175
1,019
-1,377
0
-229
3,588
31,658
22,774
11,451
11,013
22,464
51.0%

10,032
1,383
2,155
8.04
15,970

Capital removed

FY2028/29	FY2029/30	FY2030/31
874	1,202	2,122
3,300	3,200	2,489
0	0	0
-51	-80	-108
4,124	4,322	4,503
2,166	1,876	1,629

Case switches

Programme carried through (1 = yes)	1
Wind-down cost if stopped (EGP m)	1,000

INCOME STATEMENT — THREE YEARS HISTORICAL, FIVE YEARS

History is carried exactly as issued. The forecast is a formula reading the unit build.

EGP million	FY2022/23	FY2023/24	FY2024/25
Revenue	6,612	6,532	8,603
Cost of sales	3,574	4,396	5,300
Gross profit	3,038	2,136	3,302
Selling and distribution	474	563	786
Administrative	189	298	360
EBIT before other items	2,375	1,276	2,156
Depreciation and amortisation	719	773	896
EBITDA	3,094	2,049	3,052
Gross margin	45.9%	32.7%	38.4%
EBITDA margin	46.8%	31.4%	35.5%
Net profit as reported	1,151	2,538	987
Less one-off investment-property revaluation		2,035	
Net profit, underlying		503	

The EBIT line is struck before provisions, currency translation and other income and expense, so it measures trading rather than the statements' own operating result, which mixes all three. FY2025/26 is nine months

E YEARS FORECAST

FY2025/26E	FY2026/27	FY2027/28	FY2028/29	FY2029/30
10,379	11,674	12,693	13,513	14,277
5,825	6,337	6,982	7,558	8,118
4,554	5,337	5,711	5,955	6,160
980	856	944	1,019	1,090
365	410	453	490	526
3,209	3,921	4,194	4,346	4,453
891	891	1,009	1,147	1,292
4,099	4,812	5,203	5,492	5,746
43.9%	45.7%	45.0%	44.1%	43.1%
39.5%	41.2%	41.0%	40.6%	40.2%

FY2030/31

15,043

8,683

6,360

1,164

563

4,553

1,434

5,987

42.3%

39.8%

BALANCE SHEET — AS ISSUED, AND ROLLED FORWARD

*History exactly as issued at each reporting date.
The forecast rolls property on capital expenditure
less depreciation and working capital on the*

EGP million	30 Jun 2023	30 Jun 2024
Net fixed assets	11,300	14,144
Construction in progress	56	2,535
Investment property	0	2,035
Investments at fair value	1,855	2,491
Intangible assets	1,909	2,376
Inventory	1,392	1,615
Receivables	799	858
Cash and equivalents	1,416	3,103
Total assets	18,728	29,158
Paid-in capital	5,933	9,933
Reserves and retained earnings	1,317	4,627
Long-term bank loans	8,425	11,226
Holding-company loans	50	0
Deferred tax liability	1,469	1,001
Provisions	144	432
Payables and other	1,368	1,587
Current portion of long-term debt	21	354
Total equity and liabilities	18,728	29,161
Gross interest-bearing debt	8,497	11,580
Net debt	7,080	8,477

FORECAST ROLL-FORWARD

EGP million	FY2026/27	FY2027/28
Property and construction, opening	18,711	20,550
Capital expenditure	2,729	3,242
Depreciation and amortisation	891	1,009
Property and construction, closing	20,550	22,783

RD

30 Jun 2025	31 Mar 2026
13,587	13,058
3,790	5,654
2,161	2,155
2,163	1,383
2,257	2,171
2,400	3,378
631	1,230
3,057	4,607
30,046	33,634
9,933	9,933
5,430	6,273
11,183	14,386
597	46
991	961
309	292
1,208	1,539
397	207
30,048	33,637
12,178	14,639
9,120	10,032

FY2028/29	FY2029/30	FY2030/31
22,783	25,087	27,154
3,451	3,359	2,657
1,147	1,292	1,434
25,087	27,154	28,377

CASH FLOW — WORKING CAPITAL FROM THE DISCLOSURE

No plugs: receivables, inventory and payables are projected from the day counts the audited statements themselves imply, and the change feeds

EGP million	FY2026/27	FY2027/28
Revenue	11,674	12,693
Cost of sales	6,337	6,982
Receivables	856	931
Inventory	2,869	3,161
Payables	1,444	1,591
Net working capital	2,281	2,501
Opening net working capital, 31 March 20	3,069	
Change in net working capital	-788	220
Free cash flow to the firm	1,989	798

CAPITAL EXPENDITURE RECORD — WHAT THE COMPANY ACTUALLY

Year	Capital expenditure paid (EGP m)	Revenue (EGP m)
FY2021/22	80.8	4,441
FY2022/23	42.5	6,612
FY2023/24	2,396.6	6,532
FY2024/25	1,545.1	8,603
9M FY2025/26	1,949.1	7,315
Pre-project maintenance rate, the two clean years pooled		
Replacement-rate framing, the published rate	17,022	3.95%
Full-year project spend at the observed rate	2,598.8	
Rate when the facility was signed, 25 June	50.00	
Approved cost of the programme (EGP m)	6,422	278.4
Spent by 31 March 2026 (construction in progress)	5,654	
Still to spend		

The two shaded years at the top are the answer to the question this block exists to settle. With nothing being built, this plant cost EGP 80.8m and then EGP 42.5m a year to keep running

USED DAY COUNTS

FY2028/29	FY2029/30
13,513	14,277
7,558	8,118
991	1,047
3,422	3,675
1,722	1,850
2,691	2,873
190	182
874	1,202

Y SPENDS

Of revenue	What it was
1.8% Before the project	
0.6% Before the project	
36.7% The build begins	
18.0% Building	
26.6% Nine months actual	
1.1% THE MAINTENANCE DRIVER. Assumptions reads this ce	
5.8% Gross fixed assets at the disclosed machinery rate, over fi	
THE PROJECT PATH'S FIRST YEAR. Assumptions reads t	
EGP per US dollar	
20,342 EGP tranche, dollar tranche, and the two in one currency	
14,688 THE PROJECT PATH'S LAST YEAR is this less the four be	

FY2030/31

15,043

8,683

1,104

3,931

1,979

3,056

183

2,122

11.

first-forecast-year revenue. NOT used in the valuation — the downside case, published in this cell.

Before it, so the path completes the programme by construction

hed beside the central and never averaged in.

SUMMARY FINANCIALS — THE WHOLE MODEL ON ONE

EGP million	FY2026/27	FY2027/28
Revenue	11,674	12,693
EBITDA	4,812	5,203
EBITDA margin	41.2%	41.0%
EBIT	3,921	4,194
NOPAT	3,039	3,251
Capital expenditure	2,729	3,242
Free cash flow to the firm	1,989	798
Present value	1,581	512
Urea output (tonnes)	524,861	530,035
Export tonnes	329,861	329,035
Export price (US\$/t)	530.0	530.0

YEARS THREE TO FIVE AS RANGES — multipliers measured on the co

Every figure below carries the number of tested cases it rests on; years one and two are left as

Revenue — low multiplier x

Revenue — high multiplier x

Revenue — low of the range (EGP m)

Revenue — high of the range (EGP m)

Tested cases behind the revenue band

NE PAGE

FY2028/29	FY2029/30	FY2030/31
13,513	14,277	15,043
5,492	5,746	5,987
40.6%	40.2%	39.8%
4,346	4,453	4,553
3,368	3,451	3,529
3,451	3,359	2,657
874	1,202	2,122
459	522	768
534,634	539,808	544,982
327,634	326,808	325,982
530.0	530.0	530.0

company's own history

points.

0.11	0.04	0.08
1.18	1.20	1.33
1,445	507	1,220
15,881	17,139	19,995
11	10	9

PROBABILISTIC PRICE MAP — SIMULATION OUTPUT

PASTED CLASS 3. These are statistics of a fifty-thousand-path simulation of the traded price.

Percentile	One month (EGP)	Three months (EGP)	Against spot, 1M
Percentile 5	12.04	10.69	-16.4%
Percentile 25	13.35	13.03	-7.4%
Percentile 50	14.19	14.64	-1.5%
Percentile 75	15.09	16.43	4.7%
Percentile 95	16.73	20.04	16.1%
Probability the price ends a	56.7%	60.7%	
Spot at the anchor date	14.41		
Anchor date	2026-08-06		
Check date	2026-09-06	2026-11-08	

LEVEL-TOUCH LADDER — probability the price TRADES THROUGH a level at

Level	One month	Three months
Up 5%	56.1%	78.7%
Up 10%	30.1%	61.7%
Up 15%	14.8%	47.1%
Up 20%	7.3%	34.7%
Down 5%	43.6%	63.4%
Down 10%	18.3%	40.8%
Down 15%	6.9%	24.9%
Down 20%	2.6%	14.5%

How this was tested. The same method was run backwards over the company's own fifteen-year price history in non-overlapping three-month windows and

**Against spot,
3M**

-25.8%

-9.6%

1.6%

14.0%

39.1%

t any point before the check date

SENSITIVITY — WHOLE-MODEL RE-I

PASTED CLASS 3. Each cell is a complete revaluation at that pair of inputs. THIS GRID DOES NOT REDRAW when a driver changes on Assumptions.

Value per share (EGP) — long-run export price :

US\$ 380/t long-run export price

US\$ 420/t long-run export price

US\$ 460/t long-run export price

US\$ 500/t long-run export price

US\$ 540/t long-run export price

The crux in observable units. Both inputs are observable rather than matters of opinion: the first prints daily on a listed futures contract, the second can be read against the sovereign's own borrowing cost. A reader who believes urea holds above US\$540 for a decade, or that Egyptian equity risk clears below

THE CONTESTED CONSTRUCTIONS — one con

Choice made

Country risk priced off the sovereign's traded default swap

A cost of capital that glides from its spot build to a terminal rate made from its own long-run

Terminal growth at the central bank's medium-term inflation target

The cost of debt at the company's own disclosed rates — 19.4% on the local facility, 11.7% in dollars

Beta from the five-year weekly regression of the share against the published EGX30 index

Gas at the realised price the company's own loss disclosure implies

The new complex earning at half its derived nameplate in the terminal year

Maintenance capital expenditure at the company's own observed pre-project rate of 1.12% of revenue

Capital maintenance charged at what replacing the plant costs today, on the 4.45-year average age the

Gas consumption at 1,292 cubic metres a tonne of ammonia — the rate implied by allocating three

Project spending anchored on the observed run rate: the nine-month actual extended to a full year

Each row is a complete re-run of the model through the same case machinery with one component moved and everything else held. Column C is pasted class 3 and DOES NOT REDRAW. column D is a formula against the published answer

RUNS

against the terminal cost of capital

	17.0% terminal	18.5% terminal
	-2.64	-2.76
	-0.41	-0.71
	1.81	1.33
	4.04	3.38
	6.26	5.42

upon component moved, model re-run

The published a

The alternative	EGP/share
Priced off the sovereign's credit rating instead, which is the wider of the two spreads and gives a cost of capital	2.51
One flat spot rate applied to every explicit year and to the perpetuity	1.44
Two percentage points below it, which is negative real maintenance growth	2.45
Every leg floored at the 23.00% sovereign ten-year yield — the company's own facilities print no spread above the	2.89
The lower bound of that regression's own 90% confidence interval	5.78
The contract formula price in the operating agreement, which is higher	1.33
Seventy per cent, which is what a well-run nitrate line achieves	4.47
Replacement-rate maintenance: gross fixed assets at the disclosed 3.95% machinery depreciation rate, or 6.11%	3.13
Half the 22.1-year life the same accounts imply, 11.04 years, which is what has to be assumed where a	1.82
The auditor's own disclosed STANDARD rate of 1,200 cubic metres a tonne, which is what the plant consumes	4.88
The faster profile the first issue of this study used, opening at EGP 3,000m	3.83

20.4% terminal	22.0% terminal	24.0% terminal
-2.87	-2.94	-3.01
-0.99	-1.18	-1.36
0.88	0.59	0.30
2.75	2.35	1.96
4.63	4.12	3.61

4.04

Against the published

-1.53

-2.60

-1.59

-1.15

1.74

-2.71

0.43

-0.91

-2.22

0.84

-0.21

PER-SHARE FIGURES AND RATIOS

Every line a formula.

Measure	Value
Book value per share (EGP)	8.16
Price to book the market pays	1.77
Sustainable return on equity	6.9%
Cost of equity	29.28%
The gap the company has to close	22.4%
Net debt to EBITDA, FY2026/27	2.1
Enterprise value to EBITDA at the model's value	3.0
Enterprise value to EBITDA at the market price	8.0
Free cash flow per share, FY2026/27 (EGP)	1.00
Free cash flow per share, FY2030/31 (EGP)	1.07
Dividend per share	0.00

Basis

Paid-in capital plus reserves at 31 March 2026 over the share count

Two-year average on underlying profit

Built on the Assumptions sheet, on the CDS premium basis

A company earning below its cost of equity destroys value by growing

On the forward year

###0.00

PEER FRAME AND SECTOR

Cross-check only. Peer data is never a source for this company's own reported history.

Company	Market	Urea capacity (kt/yr)
Egyptian Chemical Industries	EGX	575
Abu Qir Fertilizers	EGX	2,000
MOPCO	Unlisted	1,800
Helwan Fertilizers and NCIC	Unlisted	1,300
Egyptian nitrogen capacity (kt/yr)	7,250	
The subject's share of it	7.9%	
Inland freight per export tonne (EC	1,742	

The freight line is the difference that matters. A coastal producer does not

Location

Aswan, 1,000 km inland

Alexandria, coastal

Damietta, coastal

Helwan and Ain Sokhna

Why it matters here

The subject. The only Egyptian nitrogen producer off the coast, which is why freight to port is its own disclosed cost line.

The listed comparator, and the marketer of the subject's ammonia exports for a fee of 12% of the export price. The subject held 2.7% of it and began selling down.

Curtailed alongside the rest of the industry in the 2026 gas squeeze; the subject's own urea is warehoused at Damietta for export.

Completes the supply picture against which the export share is allocated.